FINANCIAL ACCOUNTING

ELEVENTH EDITION

# Chapter 1

## Decision making and the role of accounting

©2020 John Wiley & Sons Australia Ltd

WILEY

# Learning objectives

**After studying this presentation you should be able to:**

1.1 outline the dynamic environment in which accountants work

1.2 discuss the nature of decisions and the decision-making process

1.3 outline the range of economic decisions made in the marketplace

1.4 explain the nature of accounting and its main functions

# Learning objectives

1.5 identify the potential users of accounting information

1.6 apply information to make basic economic decisions

1.7 describe the role of accounting information in the decision-making process

1.8 compare accounting information for management and external users

# Learning objectives

1.9 summaries how the accounting profession is organised in Australia

1.10 identify the different areas of the economy in which accountants work

1.11 identify the importance of ethics in business and accounting and how to recognise and handle ethical dilemmas as part of the decision-making process.

# The dynamic environment of accounting

- **Accounting:**
  - not ‘boring’ (mostly!)
  - much more than just bookkeeping
  - dynamic environment
  - the language of business
    - if you don’t have some understanding, you’re not in the conversation.

# The dynamic environment of accounting

- **Accountants:**
  - Not just ‘bean counters’ or ‘number crunchers’.
  - Varied and interesting work in a variety of roles.
  - More focus on analytical and communication skills.
- **Non-accountants:**
  - Benefits of basic understanding.
  - Engineers: product design (reduce costs/increase price).
  - Marketing: maximise sales.
  - HR: major organisational cost.

# The dynamic environment of accounting

- **Accounting evolves as society and business changes.**
- Some of these **changes** include:
  - rapid developments in information and communication technologies
  - increasing demand for information about organisational impact
  - globalisation of business
  - development of international regulations and standards
  - digital disruption and power of big data.

# Decisions in everyday life

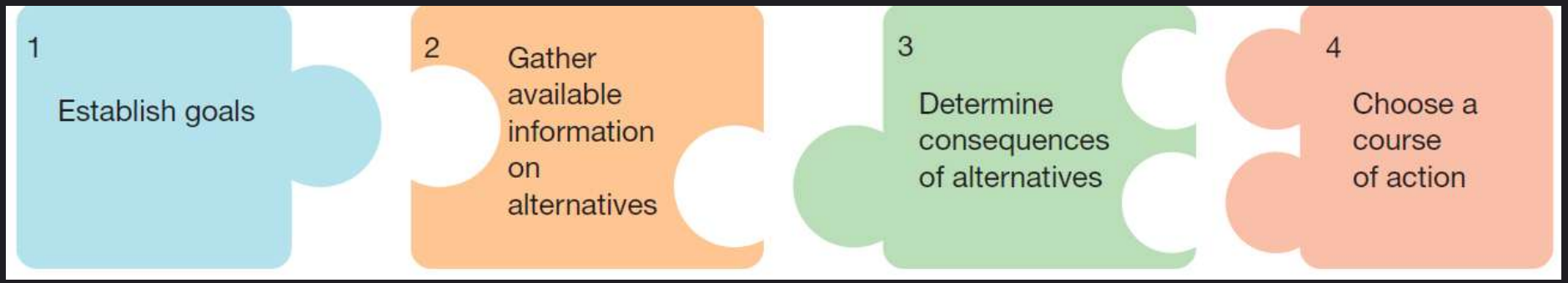
- Life is full of decisions.
- **Decisions mean making choices:**
  - we must choose how to spend our time
  - we must choose how to spend our resources
  - often competing options available.
- **Decisions affect the future:**
  - ‘Act in haste, repent at leisure.’
- Good decisions require good processes.

# Decisions in everyday life

- **Steps in decision making:**
  1. Identify each situation in which a decision needs to be made.
  2. Gather information relevant to each decision.
  3. Assess the consequences or outcomes of the alternatives available (from the information).
  4. After consideration, choose a course of action.

# Decisions in everyday life

- **Steps in the decision-making process:**



# Economic decisions

- Many (most) decisions involve **economic resources**.
- Economic resources have a price as they are scarce.
- Must also consider:
  - personal taste
  - social factors
  - environmental factors
  - religious and/or moral factors
  - government policy.

# The nature of accounting

- **Accounting is a service activity:**
  - Its function is to provide and interpret financial information to assist in decision making.
    - Steps 2, 3 and 4 of decision making process.
- **Accounting is used in a range of organisations:**
  - business
  - government
  - charities
  - not-for-profits.

# The nature of accounting

- **Accounting defined:**
  - Defined as the process of identifying, measuring, recording and communicating economic information.
  - **Identification** involves observing economic events.
  - **External transactions** involve economic events between one entity and another entity.

# The nature of accounting

- **Accounting defined:**
  - Measurement must take place before the effects of transactions can be recorded.
  - Recording provides a history of the economic activities of a particular entity.

# The nature of accounting

- **The accounting process:**

| Identification | Measurement | Recording | Communication |
|---|---|---|---|
| Transactions → | Quantification in money terms → | Recording; classification; summarisation → | Accounting reports → Analysis and interpretation |

# Users of accounting information

- **Internal users:**
  - How much profit?
  - What should be produced?
  - What resources are available?
  - How much does it cost?
  - How much do we owe?
  - What would happen if…?

# Users of accounting information

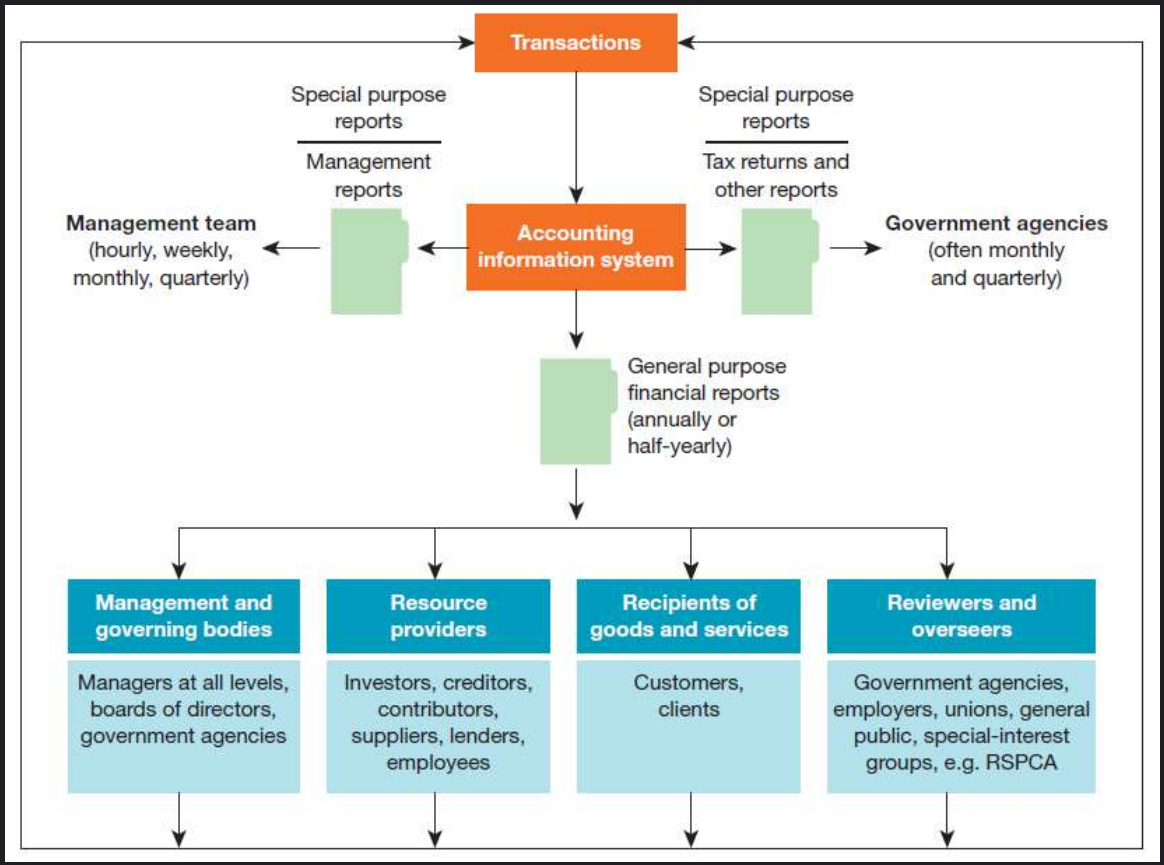
- **External users:**
  - Should I invest?
  - Can the business pay?
    - Wages? Loans?
  - Will they make a profit?
  - Are they behaving ethically?
  - Is the business socially and environmentally friendly?

# Users of accounting information

- Accounting function generally called management accounting.
- The data are presented in the form of:
  - **Special purpose financial statements:**
    - Users who have specialised needs and who possess the authority to obtain information to meet those needs.
  - **General purpose financial statements:**
    - It consist of an income Statement, a balance sheet

# Users of accounting information

- **Financial statements and users:**



# Using information in economic decisions

- **Example:**
  - Consider Cynthia, a hard-working retail sales assistant, who is ready to take on a new career.
  - She has the opportunity to start her own beauty therapy business.
  - Using the decision making process already outlined she needs to decide if this is the right decision for her.

# Using information in economic decisions

- **Example:**
  - Cynthia wants to do something different to standing behind a sales counter all day. So clearly a beauty therapy business will meet this goal.
  - She also wants to be financially secure. To establish this will require additional information

# Using information in economic decisions

- **Example:**
  - First Cynthia will need to invest in some equipment:

| | |
|---|---|
| Second-hand van | $32 000 |
| Massage tables | 2 500 |
| Manicure tables and chairs | 1 950 |
| Booking information system | 2 600 |
| Facial skin machine | 2 150 |
| Manicure and pedicure machines | 1 600 |
| Waxing pots | 1 700 |
| Uniforms | 2 000 |
| Towels | 2 400 |
| Robes | 1 800 |
| Cash register | 1 850 |
| | $52 550 |

# Using information in economic decisions

- **Example:**
  - Estimated weekly running costs:

| | |
|---|---|
| Power, beauty products and repairs and maintenance | $320 |
| Part-time employee (Fred) | 150 |
| | $470 |

  - Estimated client numbers:

| | |
|---|---|
| Waxing (under a regular program) | 42 |
| Facials, manicures and pedicures (under a regular program) | 12 |
| Spray tans (as requested) | 24 |

# Using information in economic decisions

- **Example:**
  - Approximate charges per client:

| | |
|---|---|
| Waxing | $40 |
| Facials, manicures and pedicures | 80 |
| Spray tans | 10 |

  - Estimated weekly receipts:

| | |
|---|---|
| 7 waxes for each of 6 days at $40 each | $1 680 |
| 2 facials, manicures and pedicures for each of 6 days at $80 each | 960 |
| | $2 640 |

# Using information in economic decisions

- **Example:**
  - Based on these estimates Cynthia would expect gross annual turnover for a 48 week year of $2 640 x 48 = $126 720.
  - This is before including additional income from spray tans.
  - After taking into account costs this should equate to a net weekly cash inflow of at least $2 136 before tax.

# Accounting information and decisions

- **Many decisions require significant amounts of financial information.**
  - Accounting information is very important part of this process.
- **Accountants report on the past.**
  - Still useful as a guide for making decisions about the future.
    - Past performance not necessarily indicative of future results.

# Management and financial accounting

- **What is management accounting?**
  - Area of accounting concerned with providing financial and other information to all levels of management in an organisation.
  - It used in all forms of organisations:
    - for-profit and not-for-profit organisations
    - sole traders,
    - Partnerships.

# Management and financial accounting

- **What is financial accounting?**
  - concerned with reporting information to users external to an entity
  - helps external users to make sound economic decisions
  - reflect the entity's performance and financial position.

# Management and financial accounting

- **Differences between management accounting and financial accounting:**

| | Management accounting | Financial accounting |
|---|---|---|
| **Users of reports** | *Users are inside the entity.*<br>• Managers<br>• Chief executive officers<br>• General managers<br>• Account managers<br>• Sales managers | *Users are outside the entity.*<br>• Shareholders<br>• Lenders<br>• Potential investors<br>• Creditors<br>• Customers<br>• Government<br>• Interest groups |
| **Types of reports** | *Special purpose reports.*<br>• Financial budgets<br>• Sales forecasts<br>• Performance reports<br>• Cost-of-production reports<br>• Incremental analysis reports<br>Do not have to comply with accounting standards | *General purpose financial statements for external users.*<br>• Statement of financial position<br>• Statement of financial performance<br>• Statement of changes in equity<br>• Statement of cash flows<br>Required by regulatory authorities; must comply with accounting standards |
| **Frequency of reports** | On-demand reports — daily, weekly, monthly — as requested by management to help with decision making. | Income tax legislation, the corporations law and securities exchange listing rules require reports at regular intervals. |

# Management and financial accounting

- **Differences between management accounting and financial accounting:**

| | Management accounting | Financial accounting |
|---|---|---|
| **Content and format of reports** | • Management establishes own guidelines for structure, content and type of information (financial and non-financial); structure and classification of reports are tailored to specific needs of decisions to be made<br>• Reports can relate to particular segments of an entity or to a particular decision | • Structure and content are largely standardised with certain disclosures dictated by accounting standards<br>• Statements generally contain historical, verifiable data<br>• Reflect the results of the entity as a whole, thus contain much aggregation, summarisation and restricted classification<br>• Based on the formal double-entry system |
| **External verification** | Special purpose reports are not required to be audited, but management may want verification of the contents by internal auditors | General purpose financial statements must be audited by independent external auditors who verify that the statements are in compliance with accounting standards and provide a true and fair view of the performance and financial position of the entity |

# Accounting as a profession — Australian perspective

- Self-regulated profession.
- **Three major professional associations:**
  - CPA Australia (CPA)
  - Institute of Chartered Accountants Australia (ICAA)
  - Institute of Public Accountants (IPA).
- **Membership requires:**
  - tertiary qualification
  - ongoing professional development.

# Public accounting versus commercial accounting

- **Public accounting:**
  - Accountants who offer their professional services to the public for a fee.
  - Vary from small to large international organisations.
  - Four main areas with many specialties:
    - auditing and assurance services
    - taxation services
    - advisory services
    - insolvency and administration.

# Public accounting versus commercial accounting

- **Accountants in commerce and industry:**
  - Accountants who are employed in business entities.
  - Many areas of interest:
    - general accounting
    - cost accounting
    - accounting information systems
    - budgeting
    - taxation accounting
    - internal auditing and audit committees.

# Public accounting versus commercial accounting

- **Public sector and not-for-profit accounting:**
  - Other areas of activity employing many accountants are public sector accounting.
  - Many accountants work in the not-for-profit area.
  - This requires a slightly different approach as profit is not the primary focus.
  - Includes a range of organisations:
    - Government , NGO, charities, etc.

# Ethics and accounting

- **Ethics in business:**
  - Businesses today appreciate the importance of ethical behaviour in all their business dealings.
  - All people working in the entity have to be honest, abide by the rules and '**do the right thing**'.
  - The audit and assurance services function of accounting also represents a controlling influence in maintaining ethical behaviour in business entities.

# Ethics and accounting

- **Ethics and professional accounting bodies:**
  - Issue professional and ethical standards that are integral to the Australian accounting profession.
  - Be innovative in engaging key stakeholders, including professional accountants and the public
  - Influence the international standards agenda.
  - Advocate for professionalism and ethical conduct to drive the behaviour of accountants.

# Ethics and accounting

- **Ethics and professional accounting bodies:**
  - The professional and ethical standards include but are not limited to:
    - Code of ethics for professional accountants
    - Miscellaneous professional statements and joint guidance notes
    - Such other ethical issues or similar matters of interest in respect of the accounting profession.

# Ethics and accounting

- **Ethics in practice:**
  - self interest
  - failure to maintain objectivity and independence
  - improper leadership and poor organisational culture
  - lack of ethical courage to do what is right
  - lack of ethical sensitivity
  - failure to exercise proper professional judgement.

# Summary

- The environment of accountants.
- The nature of decisions and the decision-making process.
- Economic decisions made in the marketplace.
- The nature of accounting and its main functions.
- Users of accounting information.
- Information for basic economic decisions.
- The role of accounting information in the decision-making process.

# Summary

- Accounting information for management and external users.
- How the accounting profession is organised in Australia.
- The different areas of the economy in which accountants work.
- Importance of ethics in business and accounting.
- How to recognise and handle ethical dilemmas as part of the decision-making process.

WILEY

END SHOW